fire upon or kill any person who violated a law or an order: (a) that prohibited the assembly of five or more people, or (b) that prohibited carrying weapons or explosives. The threshold to invoke this licence was especially low and vague. The member of the armed forces only needed to be of the subjective opinion that the use of force was necessary to maintain public order. The AFSPA did not require members of the armed forces to provide a warning before exercising lethal force – they were offered the option of giving any warning they considered necessary.

The 'licence to destroy' permitted the destruction of not only any arms dump, but also any structure used as a training camp, or simply a hideout, by armed gangs. Then there was the 'licence to arrest' any person suspected of having committed a cognizable offence (serious offences for which, under ordinary law, the police can make arrests without a warrant from a magistrate). Finally, the 'licence to search' enabled searches of any premises to make arrests or recover stolen property or ammunition. The AFSPA required that any person who was arrested by the armed forces be handed over to the police 'with the least possible delay'.[7] Finally, no legal proceedings could be initiated against any member of the armed forces acting under the AFSPA without the prior permission of the central government. Simply put, no permission would mean no prosecution, regardless of how serious the allegations were.

After the AFSPA was enacted, large parts of Assam and Manipur were designated as 'disturbed areas'. This was eventually extended to the whole of Assam and Manipur, as well as parts of Nagaland, Mizoram, Tripura, Arunachal Pradesh and Meghalaya. The AFSPA acquired notoriety early into its operation. Rather than aiding the civil administration in disturbed areas, the army effectively operated a parallel administration in those areas. Counter-insurgency methods against the Nagas and Mizos included 'village regrouping', or the 'forced relocation of civilians in camps under close surveillance'.[8] For instance, in the late 1960s, over 1,30,000 Mizos were regrouped into just over a hundred regrouping centres guarded by the army.[9] Torture, rape, arbitrary detention and killing inflicted by those in uniform became increasingly common occurrences.